

Competition Case Research Assistant

ASSISTANT

Hello! I'm your Competition Research Assistant. How can I help you today?

YOU

give me a list of EU cases by Apple

ASSISTANT

Here are relevant cases worth your time based on your search query.

Communication from the Commission published pursuant to Article 27(4) of Council Regulation (EC) No 1/2003 in Case AT.40452 – Apple – Mobile Payments

Case Background

- The allegation made in this case is that Apple abused its dominant position in the markets for mobile wallets on iOS devices by limiting access to a standard technology used for contactless payments. (Page 1)
- The company against which the allegation is made is Apple. (Page 1)
- The year of case initiation is 2022, specifically on May 2nd. (Page 1)
- The violation involves alleged infringements of Article 102 of the Treaty on the Functioning of the European Union and Article 54 of the Agreement on the European Economic Area. (Page 1)
- This violation was conducted by Apple not allowing third-party app developers to access the Near-Field Communication (NFC) technology necessary for mobile payments on iOS devices, effectively monopolizing the mobile payment market through its own solution, Apple Pay. (Page 1)

Case Progression

- **Case Initiation:** The case was initiated under the Council Regulation (EC) No 1/2003 concerning alleged infringements by Apple related to mobile payments (Page 1).
- **Preliminary Investigation:** The Commission conducted a preliminary investigation, which led to a Statement of Objections issued on 2 May 2022, indicating that Apple may have abused its dominant position in the mobile wallet market by restricting access to NFC technology (Page 2).
- **Statement of Objections Issued:** The Statement of Objections outlined the preliminary conclusion regarding Apple's conduct, specifically its limitation on third-party access to NFC technology necessary for mobile payments (Page 2).
- **Defense Phase:** Apple disagreed with the Commission's findings but offered commitments to address the concerns raised. This phase includes the opportunity for Apple to submit a written response and potentially participate in an oral hearing (Page 3).
- **Commission Decision:** The Commission intends to adopt a decision under Article 9(1) of Regulation (EC) No 1/2003, which could declare the commitments binding, thus potentially closing the case if accepted (Page 3).
- **General Court and CJEU:** If the commitments are not accepted or if the Commission finds an infringement, Apple may choose to appeal the decision, leading to a lengthy process involving the General Court and possibly the CJEU for legal review (Page 3).

Market Definition

- The market considered in this case was the market for mobile wallets on iOS devices, specifically focusing on the use of Near-Field Communication (NFC) technology for contactless payments. (Page 1)
- The Commission's preliminary assessment involved a Statement of Objections, which expressed concerns regarding Apple's alleged abuse of its dominant position in this market. (Page 1)
- The definition of the market was influenced by the availability and accessibility of NFC technology, which is standardized and widely used in payment terminals across the EU. (Page 1)
- The process to define the market included evaluating Apple's control over access to NFC functionality, which was limited to its own mobile wallet solution, Apple Pay. (Page 1)
- Techniques used in this case included analyzing the competitive dynamics of the mobile payments sector and assessing the implications of Apple's restrictions on third-party developers accessing NFC technology. (Page 2)
- The Commission's approach also involved considering the impact of Apple's practices on competition within the European Economic Area (EEA) and the potential barriers to entry for other mobile wallet providers. (Page 2)
- The commitments offered by Apple were aimed at addressing these competition concerns by facilitating third-party access to NFC functionality, which was a critical aspect of the market definition process. (Page 2)

Legal & Economic Tests

- **Preliminary Assessment of Dominance:** The Commission conducted a preliminary assessment to determine whether Apple abused its dominant position in the market for mobile wallets on iOS devices. This involves analyzing Apple's market share, the competitive landscape, and the impact of its practices on competition and consumers. The findings from this assessment led to the issuance of a Statement of Objections on May 2, 2022, indicating concerns regarding Apple's limitations on access to NFC technology. (Page 1)
- **Commitments Offered by Apple:** In response to the Commission's concerns, Apple offered commitments to address the identified issues. This process involves evaluating whether the proposed commitments effectively resolve the competition concerns raised. The commitments include allowing third-party developers access to NFC functionality and ensuring fair and transparent criteria for eligibility. The Commission will assess these commitments before deciding to make them binding. (Page 2)
- **Public Consultation:** The Commission invites interested third parties to submit observations on the proposed commitments. This public consultation serves as a mechanism to gather feedback from stakeholders, which can influence the final decision on whether to accept the

commitments. Observations must be submitted within a specified timeframe, allowing the Commission to consider external input before concluding the case. (Page 3)

Conclusion

- The Commission adopted a Statement of Objections on May 2, 2022, preliminarily concluding that Apple abused its dominant position in the mobile wallet market by limiting access to NFC technology for third-party developers (Page 1).
- Apple has offered commitments to address the Commission's preliminary competition concerns, although it does not agree with the Statement of Objections (Page 1).
- The key commitments include allowing third-party mobile wallet and payment service providers to access and interoperate with the NFC functionality on iOS devices without using Apple Pay or Wallet, facilitated through new APIs (Page 2).
- Apple commits to providing additional features, such as allowing users to set their preferred payment application as the default NFC payment application and maintaining a register of installed payment applications requesting NFC access (Page 2).
- The commitments will apply to all app developers established in the EEA and all iOS users with an Apple ID registered in the EEA, specifically for devices capable of upgrading to the latest iOS version (Page 2).
- Apple has proposed to apply these commitments for a period of ten years, specifically related to the case AT.40452 (Page 2).
- Interested third parties are invited to submit their observations on the proposed commitments within one month of the publication date, indicating that the Commission intends to adopt a decision to make these commitments binding (Page 3).

Antitrust proceedings in case AT.40716 – Apple – App Store ...

Case Background

- The allegation made in this case is that Apple Inc. and its subsidiaries committed infringements related to antitrust practices, specifically concerning the terms governing the use of Apple's App Store by developers of competing apps. (Page 1)
- The companies against which the allegations are made include Apple Inc., its subsidiaries, and all companies under their control, including Apple Distribution International. (Page 1)
- The year of case initiation is 2020. (Page 1)
- The violation involves the requirement for developers to use Apple's in-app purchase mechanism (IAP) for distributing paid apps and digital content, through which Apple charges a commission fee. Additionally, there are restrictions on developers' ability to communicate with iOS users about alternative purchasing options outside the app. This conduct may also prevent competing developers from accessing important customer data, while allowing Apple to gather valuable insights about its competitors' activities and offers. (Page 1)

Case Progression

- **Case Initiation:** The proceedings were initiated on 16/06/2020 regarding Apple's App Store practices, specifically focusing on the terms governing the use of the App Store by developers of competing apps in the European Economic Area (Page 1).
- **Preliminary Investigation:** The investigation will assess whether Apple has infringed Article 101 and/or 102 of the Treaty on the Functioning of the European Union. Evidence will be gathered concerning the requirement for developers to use Apple's in-app purchase mechanism and the restrictions on communication with users (Page 1).
- **Statement of Objections issued:** If sufficient evidence is found during the preliminary investigation, a Statement of Objections will be issued detailing the alleged anti-competitive practices of Apple (Page 1).
- **Defense Phase:** Apple will have the opportunity to respond in writing within 8–12 weeks and participate in an oral hearing to defend against the allegations presented in the Statement of Objections (Page 1).
- **Commission Decision:** Following the defense phase, the Commission will make a decision. If an infringement is found, it may lead to fines or other remedies, while a finding of no infringement would result in the closure of the case (Page 1).
- **Potential Appeals:** Should Apple choose to appeal the Commission's decision, the case may progress to the General Court and potentially to the Court of Justice of the European Union, extending the timeline significantly (Page 1).

Market Definition

- The market considered in this case involves the terms governing the use of Apple's App Store in the European Economic Area by developers offering apps that compete with Apple's own apps or services. (Page 1)
- The investigation focuses on the requirement for developers to use Apple's in-app purchase mechanism (IAP) for distributing paid apps and digital content, which is a key aspect of defining the market. (Page 1)
- The process to define the market includes examining the competitive dynamics between Apple and developers of competing apps, particularly regarding the restrictions imposed on developers. (Page 1)
- Techniques used in the investigation may involve analyzing the commission fees charged by Apple through the IAP and how these affect pricing strategies of competing developers. (Page 1)
- The investigation will also consider the implications of restrictions on developers' ability to communicate with iOS users about alternative purchasing options, which is crucial for understanding market dynamics. (Page 1)

- Additionally, the potential dis-intermediation of competing developers from important customer data will be assessed, as this impacts competition and market structure. (Page 1)
- The proceedings will prioritize the examination of alleged infringements of competition law, specifically Articles 101 and 102 of the Treaty on the Functioning of the European Union, which will guide the market definition process. (Page 1)

Legal & Economic Tests

- **Article 101 and Article 102 of the Treaty on the Functioning of the European Union (TFEU):** These articles address anti-competitive agreements and abuse of dominant market positions, respectively. In this case, the investigation will assess whether Apple's practices constitute an infringement by restricting competition through its in-app purchase mechanism and communication limitations. The process involves analyzing the impact of these practices on market competition and consumer choice. (Page 1)
- **Article 53 and Article 54 of the EEA Agreement:** Similar to the TFEU provisions, these articles focus on maintaining competition within the European Economic Area. The investigation will evaluate whether Apple's actions violate these provisions by potentially harming competitors and consumers in the EEA. The process includes gathering evidence on market behavior and the effects of Apple's policies on competing developers. (Page 1)
- **Assessment of Market Power and Consumer Data Access:** The investigation will also consider how Apple's practices may dis-intermediate competing developers from accessing important customer data, while Apple itself gains valuable insights into competitors' activities. This involves analyzing the market dynamics and the extent of Apple's market power, as well as the implications for competition and consumer welfare. (Page 1)

Conclusion

- The proceedings were initiated on 16/06/2020 to investigate Apple's App Store practices, specifically regarding the requirement for developers to use Apple's in-app purchase mechanism (IAP) and the associated commission fees (page 1).
- The investigation focuses on potential infringements of competition law, particularly Articles 101 and 102 of the Treaty on the Functioning of the European Union, as well as Articles 53 and 54 of the EEA Agreement (page 1).
- The case does not conclude with a definitive finding of infringement; rather, it prioritizes the examination of the issues raised (page 1).
- The proceedings are aimed at understanding how Apple's practices may dis-intermediate competing developers from accessing important customer data while allowing Apple to gather valuable competitive intelligence (page 1).
- Separate proceedings are noted for music streaming apps and ebooks/audiobooks, indicating a broader context of regulatory scrutiny on Apple's practices (page 1).

- No specific remedies or fines have been detailed in the provided information, as the initiation of proceedings does not imply any conclusions or penalties at this stage (page 1).

Resumen de la Decisión de la Comisión, de 6 de septiembre de 2018, por la que una operación de concentración se declara compatible con el mercado interior y el funcionamiento del Acuerdo EEE (Asunto M.8788 — Apple/Shazam) [notificada con el número C(2018) 5534] Texto pertinente a efectos del EEE.

Case Background

- The allegation made in this case revolves around concerns regarding the compatibility of a concentration operation with the internal market and the functioning of the EEA Agreement. (Page 4)
- The companies involved in this case are Apple Inc. and Shazam Entertainment Ltd. (Page 4)
- The case was initiated on December 21, 2017, when the European Commission received a referral request from the Austrian competition authority. (Page 4)
- The violation pertains to potential anti-competitive effects arising from the acquisition, specifically doubts about its compatibility with the internal market. The investigation indicated that the concentration could lead to significant concerns regarding competition in various markets, including digital music streaming and software solutions. (Page 5)
- The Commission's inquiry revealed that the operation might allow Apple to leverage its position to the detriment of competitors, particularly in the market for music recognition applications and digital music distribution services. (Page 8)
- Despite these concerns, the Commission ultimately concluded that the operation would not significantly impede effective competition in the internal market. (Page 8)

Case Progression

- **Case Initiation:** The case was initiated on December 21, 2017, when the Austrian Federal Competition Authority referred the proposed acquisition of Shazam by Apple to the European Commission under Article 22 of the Merger Regulation (Page 4).
- **Preliminary Investigation:** The Commission conducted a preliminary investigation and found substantial doubts regarding the compatibility of the concentration with the internal market, leading to the opening of a formal investigation on April 23, 2018 (Page 5).
- **Statement of Objections Issued:** Following the preliminary investigation, the Commission issued a Statement of Objections, detailing concerns about potential anti-competitive effects, particularly regarding the market for Automatic Content Recognition (ACR) software (Page 8).
- **Defense Phase:** Apple submitted its written response to the Statement of Objections on May 15, 2018, and the Commission allowed for an oral hearing to discuss the concerns raised (Page 6).

- **Commission Decision:** On September 6, 2018, the Commission concluded that the acquisition would not significantly impede effective competition in the internal market, thus declaring the operation compatible with the market (Page 8).
- **Outcome:** The decision was made without any infringement or commitments required, allowing Apple to proceed with the acquisition of Shazam, as the Commission found that the operation would not harm competition (Page 8).

Market Definition

- The market considered in this case included various activities related to software solutions and music distribution, specifically focusing on software for recognition of music (ACR) and digital music distribution services. (Page 5)
- The Commission defined the relevant product markets as: i) software solutions and/or application platforms for PCs, ii) mobile smart devices, iii) wearable smart devices, iv) smart TVs, and v) digital music distribution services. (Page 5)
- The geographical market for these software solutions and platforms was determined to encompass at least the entire European Economic Area (EEE), if not globally. (Page 5)
- The process involved a market investigation to assess the competitive effects of the concentration, including consultations with market participants and analysis of existing competition. (Page 6)
- Techniques used included evaluating the complementarity of products offered by Apple and Shazam, and assessing whether the concentration would significantly impede effective competition in the relevant markets. (Page 8)
- The Commission also considered the potential for market exclusion of competitors in the ACR software market and analyzed the likelihood of anti-competitive behavior post-concentration. (Page 8)
- The investigation concluded that the operation would not significantly hinder effective competition, as established competitors would remain active and the products were largely complementary. (Page 6)

Legal & Economic Tests

- **Jurisdictional Competence Test:** This test assesses whether the operation has a dimension of the Union and whether the parties' turnover meets the thresholds defined in the relevant regulations. In this case, it was determined that the operation did not meet these thresholds, leading to the Commission acquiring jurisdiction to examine the effects of the operation on February 6, 2018 (Page 5).
- **Market Definition Test:** This involves identifying the relevant product and geographic markets affected by the operation. The Commission defined the markets as including software solutions and platforms for various devices, as well as digital music distribution services. The

evaluation considered both specific software solutions and broader categories, with the geographic scope encompassing at least the EEA (Pages 4–6).

- **Competition Assessment Test:** This test evaluates whether the concentration would significantly impede effective competition in the internal market. The Commission concluded that the operation would not significantly hinder competition, as the products of Apple and Shazam were largely complementary, and established competitors would continue to operate effectively in the market (Pages 6–8).

Conclusion

- The conclusion reached was that the operation of concentration between Apple and Shazam would not significantly impede effective competition in the internal market or in a substantial part of it (page 8).
- The decision declared the concentration operation compatible with the internal market, in accordance with Article 2(2) and Article 8(1) of the Merger Regulation (page 8).
- The investigation found that the products offered by Apple and Shazam were largely complementary, which contributed to the conclusion that competition would not be significantly hindered (page 6).
- It was noted that a number of established competitors would continue to operate in the market after the concentration, ensuring ongoing competition (page 6).
- The Commission considered that the potential for Apple to leverage its position to negatively impact Shazam's competitors was unlikely to occur, as there was no specific concern that was unique to this concentration (page 8).
- No fines or specific remedies were imposed as part of the decision, as the operation was deemed not to obstruct competition (page 8).

Case No COMP/M.7290 – APPLE/ BEATS

Case Background

- The allegation made in this case involves the acquisition of Beats Electronics and Beats Music by Apple Inc., which raises concerns regarding competition in the market. (Page 1)
- The companies involved in this case are Apple Inc. and Beats Electronics, along with Beats Music. (Page 1)
- The case was initiated in the year 2014, specifically on June 24. (Page 1)
- The violation pertains to potential anti-competitive effects resulting from the merger, particularly in the markets for headphones and digital music distribution. The acquisition was conducted through the purchase of shares, which allowed Apple to gain sole control over Beats Electronics and Beats Music. (Page 1)
- The transaction was scrutinized to assess its impact on competition, especially given that both companies operate in overlapping markets, although the Commission ultimately found

no significant competition concerns. (Page 5)

Case Progression

- **Case Initiation:** The case was initiated with the notification of a proposed concentration on 24 June 2014, where Apple Inc. sought to acquire sole control of Beats Electronics and Beats Music through the purchase of shares (Page 1).
- **Preliminary Investigation:** The European Commission assessed the transaction's EU dimension, confirming that the aggregate EU-wide turnover of Apple and Beats exceeded the thresholds set by the Merger Regulation. This included evaluating their turnovers in specific Member States (Page 4).
- **Statement of Objections:** No Statement of Objections was issued in this case, as the Commission found no competition concerns that warranted further investigation (Page 12).
- **Defense Phase:** There was no formal defense phase since the Commission did not identify any infringement or need for commitments. The investigation concluded without requiring a written response or oral hearing (Page 12).
- **Commission Decision:** The Commission decided not to oppose the acquisition, declaring it compatible with the internal market and the EEA Agreement, thus closing the case without any fines or commitments (Page 12).
- **Final Outcome:** The decision was signed by Joaquín Almunia, Vice-President of the Commission, indicating the end of the case without further appeals or legal challenges (Page 12).

Market Definition

- The relevant geographic market was considered to be either global or at least EEA-wide, but the exact definition was left open as the transaction did not raise competition concerns regardless of the definition. (Page 5)
- The relevant product market for headphones was discussed, with the notifying party suggesting it was part of a wider market for portable audio equipment, which was deemed overly broad. (Page 4)
- The Commission considered the possibility of defining a narrower market specifically for headphones, acknowledging the diversity in prices and features, which could lead to separate markets for high-end and low-end headphones. (Page 4)
- The assessment of market shares indicated that the combined market share of Apple and Beats Electronics for headphones was below 20% globally and EEA-wide, with specific figures provided for value and volume terms. (Page 6)
- The transaction's impact on the distribution of digital music was examined, although there was no horizontal overlap in the EEA, as only Apple was active in that market. (Page 4)

- The Commission referenced previous cases, such as Kenwood / JVC / Holdco and Universal Music Group / EMI Music, to inform its approach to market definition and to highlight that the differences between streaming and downloading music were likely to diminish over time. (Page 5)
- Ultimately, the Commission concluded that it was unnecessary to define the relevant product market or geographic market in detail, as the transaction did not raise competition concerns. (Page 5)

Legal & Economic Tests

- **Market Definition Test:** The assessment involved defining the relevant product and geographic markets affected by the merger. In this case, the relevant product markets included headphones and digital music distribution. The notifying party suggested a broad market for portable audio equipment, but the Commission considered a narrower definition, particularly focusing on headphones. The geographic market was considered potentially global or EEA-wide, but the exact definition was deemed unnecessary for the outcome of the case. This test is crucial as it establishes the competitive landscape in which the merger will operate. (Pages 4–5)
- **Competitive Effects Test:** This test evaluated whether the merger would significantly impede effective competition, particularly by removing Beats Music as a potential competitor to Apple. The Commission concluded that Beats Music did not exert a significant constraining influence on Apple due to its limited market share and the presence of other competitors like Pandora. This analysis helps determine if the merger would lead to anti-competitive effects in the market. (Pages 9–10)
- **Vertical Assessment Test:** The Commission examined whether the merger could lead to input foreclosure, specifically regarding access to music for competing streaming services. It assessed Apple's bargaining power with record labels through its iTunes platform, which accounted for a significant share of music downloads. The analysis focused on whether Apple would have the ability and incentive to withhold music from competitors, which is essential for understanding the implications of the merger on market access for other services. (Pages 10)

Conclusion

- The European Commission concluded that the proposed acquisition of Beats Electronics and Beats Music by Apple did not raise competition concerns and decided not to oppose the transaction (Page 12).
- The decision was made under Article 6(1)(b) of the Merger Regulation, indicating that the operation was deemed compatible with the internal market and the EEA Agreement (Page 12).

- The Commission noted that the aggregate EU-wide turnover of the parties involved exceeded EUR 100 million, confirming that the transaction had an EU dimension (Page 4).
- There was no horizontal overlap in the EEA regarding digital music distribution, as only Apple was active in that market, which contributed to the decision not to oppose the merger (Page 4).
- The relevant product market for headphones was discussed, with the Commission suggesting that it might be narrower than the broader market for portable audio equipment proposed by the notifying party (Page 4).
- The Commission did not reach a definitive conclusion on the exact product market definition for headphones, as the transaction was cleared regardless of this definition (Page 4).
- No remedies or fines were imposed in this case, as the transaction was approved without conditions (Page 12).

What other questions do you have?